

Non-Solvency II Firms - With-Profits

Effective Date: 03-03-2026

Source: <https://www.prarulebook.co.uk/prarules/non-solvency-ii-firms-with-profits/03-03-2026>

Type: PRA Rule

Scraped: 2026-03-02 20:52

1

Application

1.1

Subject to [1.2](#), this Part applies to a [non-directive insurer](#) carrying on [with-profits insurance business](#).

- 01/01/2016

1.2

This Part does not apply to [with-profits insurance business](#) that consists of [effecting contracts of insurance](#) or [carrying out contracts of insurance](#) that are [Holloway sickness policies](#).

- 01/01/2016

2

Assets in the With-Profits Fund

2.1

A [firm](#), other than a [friendly society](#), must ensure that it holds [admissible assets](#) in each of its [with-profits funds](#) of a value (calculated in accordance

with [Insurance Company – Overall Resources and Valuation](#)) sufficient to cover the [with-profits policy liabilities](#) in respect of all of the business written in, or transferred into, that [with-profits fund](#).

- 01/01/2016

2.2

A [friendly society](#) must ensure that it holds assets in each of its [with-profits funds](#) of a value (calculated in accordance with [Friendly Society – Asset Valuation](#)) sufficient to cover the [with-profits policy liabilities](#) in respect of all of the business written in, or transferred into, that [with-profits fund](#).

- 01/01/2016

3

Distribution Strategies

3.1

A [firm](#) must ensure at all times that its strategy for distribution of discretionary benefits in respect of each of its [with-profits funds](#):

1. (1) is affordable and sustainable; and
2. (2) cannot reasonably be expected to have an adverse effect on the safety and soundness of the [firm](#) as a whole, or on the benefit security of all [policyholders](#) of the [firm](#).

- 01/01/2016

4

Support Arrangements

4.1

If a [firm](#) is using, or intends to use, [support arrangements](#) to contribute to benefit security for the [policyholders](#) of a [with-profits fund](#), it must ensure that:

1. (1) all the terms and conditions governing those [support arrangements](#), including the circumstances in which they take effect and the terms on which they are or may be repayable, are adequately documented in the [firm's](#) records; and
2. (2) the extent of any restrictions on the [firm's](#) use of those [support arrangements](#) is clearly identified.

- 01/01/2016